



BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO.: 25-11

PHILLIP MARCIANO LLC
Complainant,

v.

US CARGO SERVICES INC.
Respondent

RECEIVED June 23, 2025 Office of the Secretary Federal Maritime Commission
--

VERIFIED COMPLAINT

Complainant, PHILLIP MARCIANO LLC (“Complainant” or “Phillip Marciano”), by and through its attorneys, respectfully alleges against Respondent US CARGO SERVICES INC. (“US Cargo”), as follows:

I. COMPLAINANT

1. Complainant Phillip Marciano LLC is a limited liability company existing under the laws of the State of New York with its principal place of business at 1441 Broadway, Suite 3100, New York, NY 10018. Complainant may be contacted through its counsel at the numbers and email addresses listed below.

II. RESPONDENT

2. Respondent US Cargo is a corporation with its principal place of business located at 18120 W Bellfort Street, Unit E, Richmond, TX 77407 and/or 17626 Cleaves Dr., Richmond, TX 77407. Plaintiff is unaware under which state US Cargo was incorporated.

3. Respondent is a common carrier within the meaning of the Shipping Act of 1984, 46 U.S.C. 40102(7) (the “Act”) and is subject to the regulation by the Federal Maritime Commission (“FMC”).
4. Respondents or its agents were engaged/designated to receive the subject Cargo (defined herein), aid in U.S. Customs clearance, and coordinate and complete delivery to Complainant/consignee at the final destination listed on the subject Bills of Lading (defined herein).

III. JURISDICTION AND LEGAL AUTHORITY

5. The FMC has jurisdiction over this matter pursuant to the Act, 46 U.S.C. 40101 et. seq.
6. The FMC has personal jurisdiction over Respondent as a common carrier as the term is defined in 46 USC §§40102(7)(ii); (17); (19); and/or (20).
7. Respondent’s actions as complained of herein constitute a failure of Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property of Complainant’s in violation of 46 U.S.C. 41102(c) and (d) and 46 CFR 545.5 including the incentive principal as articulated in Section 545.5.

IV. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

8. Complainant is a U.S. based apparel wholesaler based in New York. Complainant imports apparel into the U.S. from various countries around the world including Bangladesh, India and China. Complainant relies on ocean and land common carriers, such as Respondent, to ship goods to the United States and pass U.S. Customs.
9. This Complaint highlights Respondent’s violations of the Shipping Act in relation to the importation/shipment of three separate shipping containers filled with apparel products purchased and owned by Complainant.

10. Each of the imported shipments is subject to its own Bill of Lading in which Complainant is either consignee or owns the goods being imported as follows: (i) Nonnegotiable bill of lading, No. MCLNYC250031A covering the shipment of 970 Cartons of Boy's Shorts from Bangladesh to New York; (ii) a bill of lading, No. OSSPL/US/24-25/1949 covering the shipment of 451 Cartons comprised of Men's Polo Shirts and T-Shirts from India to New York; and (iii) a bill of lading, No. COSU6408922450 covering the shipment of 1,501 Cartons of Readymade Garments from India to New York (all three collectively, the "Bills of Lading"). The goods contained within the three shipments subject to each of the Bills of Lading is hereinafter referred to as the "Cargo." Copies of the three subject Bills of Lading are annexed hereto and made a part hereof as **Exhibit "1."**
11. In total, the Cargo contains \$231,433.00 worth of apparel products that Complainant wholesales either to retailers or directly to customers.
12. It is a crucial part of Complainant's business to ensure product availability to maintain good connections with its customers to promote goodwill and continued business relations.
13. Complainant engaged D and T Apparels Inc. ("D&T") as a shipping broker to coordinate the import and shipment of the Cargo. In turn, D&T engaged Respondent to arrange for the U.S. Customs clearance and as carrier for delivery of the Cargo to Complainant.
14. Complainant has worked closely with D&T and its principal/representative Tausif Hassan ("Hassan") for many years. US Cargo has been retained as the carrier for a number of Complainant's historical imports by using Hassan as Complainant's point of contact.
15. Upon information and belief, the Cargo arrived and cleared customs: (i) on March 27, 2025, for Bill of Lading OSSPL/US/24-25/1949; (ii) on March 31, 2025, for Bill of Lading COSU6408922450; and (iii) on April 30, 2025, for Bill of Lading MCLNYC250031A.

16. Pursuant to the Bills of Lading, Respondent was obligated to ensure the delivery of the Cargo to Complainant upon clearance of customs. *See Exhibit 1.*
17. At the direction of Hassan, however, upon the Cargo's clearance at customs, Respondent failed and/or refused to deliver the Cargo to Complainant as consignee, in breach of the obligations set forth in the Bills of Lading.
18. As a direct result of Respondent's refusal to deliver the Cargo to Complainant, Respondent also refused to release the Cargo from port after it cleared customs. This caused Complainant to incur significant penalties and charges due to the late return of certain equipment. To wit, Respondent caused Complainant to incur \$3,145.00 as indicated on an invoice from Union Logistics dated March 29, 2025, copies of which are annexed hereto as **Exhibit "2."**
19. Complainant suffered significant losses as a result of Respondent's failure and/or refusal to deliver the Cargo to Complainant. These losses have come in the form of cancellations and chargebacks from Complainant's customers that were consequently unable to fulfill orders due to the Cargo being actively held "hostage" by Respondent.
20. To date, Complainant has suffered damages of at least \$196,262.40 due to its vendors' various cancelled orders, which amount does not even include the costs of purchasing the Cargo. These damages and cancellations will continue to increase the longer Complainant goes without the Cargo. Copies of the cancelled purchase orders with email correspondence supporting same is annexed hereto as **Exhibit "3."**
21. While Complainant attempted to resolve this matter in good faith with both Respondent and Hassan directly, Respondent refused to communicate with Complainant, advising that because they were engaged by Hassan, Respondent would only speak or take directions from him.

22. Per 46 U.S.C. 41102(c), Respondent is statutorily required to establish and enforce reasonable practices relating to or connected with receiving, handling, storing, or delivering property. This includes handling of the property in relation to the charge or accrual of demurrage and detention charges.
23. As explained in Section 545.5, “the purpose of demurrage and detention are to incentivize cargo movement,” and therefore the FMC “will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.”
24. Upon information and belief, Respondent’s conduct in purposely and intentionally withholding delivery of Complainant’s goods is related to some questionable claimed past due balance which is wholly unrelated to the Cargo or services provided in relation to the Cargo.
25. Respondent’s refusal to complete delivery in accordance with the subject Bills of Lading was calculated, with the intention to hold Complainant’s Cargo hostage pending payment of unrelated past due charges. Or simply put, borderline extortion.
26. Respondent’s refusal to complete delivery in accordance with the subject Bills of Lading is a clear violation of 46 U.S.C. 41102(d) which states: “Retaliation and other discriminatory actions. A common carrier...acting alone or in conjunction with any other person, directly or indirectly, may not...resort to any other unfair or unjustly discriminatory action for... any other reason.”
27. Respondent’s conscience refusal to complete delivery in accordance with the subject Bills of Lading (at Hassan’s direction) until there is payment of some unrelated past due balance, falls squarely within the ambit of subsection (d) of section 41002.

28. Complainant is unsure in exactly which warehouse Respondent is storing the Cargo, though reasonably believes it is located in the State of New Jersey. Respondent is now very literally holding the Cargo hostage after delaying the removal of the Cargo from port and forcing Complainant to incur excessive equipment charges related to Respondent's intentional refusal to timely deliver the Cargo.
29. Despite Complainant's efforts to resolve this matter without the need for judicial intervention, Complainant's efforts have been unsuccessful.
30. Despite being well aware of its obligations to complete delivery of the Cargo in accordance with the Bills of Lading, Respondent refused, forcing Complainant to incur unnecessary equipment charges, delaying the return of certain containers and undermining one of the primary purposes of the Shipping Act by not incentivizing or promoting freight fluidity.

V. CAUSATION

31. Respondent's actions in refusing to deliver the Cargo in accordance with the Bills of Lading pending payment of an unrelated past due balance directly and proximately caused and continue to cause Complainant injury by forcing Complainant to incur the aforementioned unnecessary equipment charges, notwithstanding the damages suffered by Complainant by and through order cancellations by being unable to fulfill its orders in an amount equal to at least \$196,262.40.

VI. DAMAGES

32. As a result of Respondent's breach of the Shipping Act by refusing to timely complete delivery or otherwise negotiation with Complainant in good faith to ensure completion of delivery, Complainant has suffered damages in the minimum amount of \$430,840.40, represented by

the cost of goods (the Cargo), unnecessary penalties and equipment charges, and cancellations from Complainant's customers.

VII. CAUSES OF ACTION

VIOLATION OF 46 U.S.C. 41102(c) and (d) & 46 C.F.R. 545.5

33. Complainant repeats and realleges each allegation set forth above as is fully set forth herein.
34. Respondent's practices as alleged herein include: (i) refusal to timely complete delivery of the Cargo in accordance with the Bills of Lading; (ii) not timely returning the containers/equipment after the Cargo passed U.S. Customs forcing Complainant to incur equipment charges; (iii) refusing to negotiate with Complainant in good faith to resolve this matter; and (iv) failing to establish, observe, and enforce just and reasonable practices related to receiving, handling and storing and delivering Complainant's property is in violation of 46 U.S.C. 41102(c) and (d) and 46 C.F.R. 545.5.

VIII. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondent be ordered to answer this Complaint pursuant to 46 U.S.C. Section 41301(b) and prays for relief as follows:

1. An investigation pursuant to 46 U.S.C. 41301(c) into the matters alleged in this Complaint.
2. An order after investigation pursuant to 46 U.S.C. 41301(c) finding that Respondent has violated the provisions outlined herein.
3. An Order compelling Respondent to cease and desist from violating the Shipping Act as outlined herein and requiring Respondent to put into place practices to preclude future violations.
4. An Order requiring Respondent to pay Complainant reparations for the unlawful practices outlines herein in an amount to be proven pursuant to 46 U.S.C. 41305, with interest

pursuant to 46 U.S.C. 41305(a), Complainant's reasonable attorney's fees, as the prevailing party pursuant to 46 U.S.C. 41305(e), and any other amounts the FMC determines to be just and proper.

5. Such other and further relief as the FMC deems just and proper.

Dated: New York, New York
June 17, 2025

Respectfully Submitted,

Jason J. Rebhun



Law Offices of Jason J. Rebhun, P.C.
Attorneys for Complainant
40 Wall Street, Suite 1607
New York, NY 10005
(646) 201-9392
jason@jasonrebhun.com

VERIFICATION

I, Eddie Halabi, am authorized to make this verification on behalf of Phillip Marciano LLC. I have read the foregoing Verified Complaint and believe to the best of my knowledge, information and belief including information received from other agents and employees of Phillip Marciano LLC, that the facts stated herein are true and correct. I declare under the penalty or perjury that the foregoing is true and correct.



EDDIE HALABI, Member
Phillip Marciano LLC

June 17, 2025